

necessity substantial, a measure of the resources necessary to be in such businesses. But some of the best businesses in the world have been formed since the advent of the internet, and many are “asset light.” They outsource manufacturing and other activities; they rent rather than own assets. Their products are intellectual property such as computer software. For such businesses, book value is essentially irrelevant; their business value is considerably greater than the hard assets they own. Some companies are able to build increasingly wide moats around their businesses as a result of accumulating more and more data from their customers, creating a valuable network effect whereby today’s commercial success leads to tomorrow’s even greater competitive advantage.

Today, when a company loses its edge and comes under increased competitive threat, often because of technological disruption, the downside comes suddenly and relentlessly. With so many stocks trading at a hefty premium to book value (many for good reason), there is a long way to fall before the value of hard assets cushions the downside. These days, the small number of businesses trading at very depressed levels, levels at which the book value or liquidation value exceeds the share price, are likely to be those with commensurately less upside potential and inferior business models. Thus book value is no longer a screen for attractive opportunity, but instead for its opposite. The book value of a company that cannot generate cash flow is necessarily suspect, as are its component parts—inventory, receivables, and plant and equipment.

But wait: for certain businesses, it should be noted, book value does remain quite relevant. Regulated businesses such as utilities are entitled to a statutory return on capital, and most utilities trade in a reasonably narrow valuation range as a result. Banks and insurance companies are required by regulators to have a certain ratio of shareholder capital at risk compared to the size of the business. While